

over the next seventy years. A combination of technical developments and economies, of which the company was far more the beneficiary than the instigator, was to bring this about. Alcoa has and continues to show a high order of skill in encouraging and taking advantage of these trends. However, if background conditions, such as the perfecting of airborne transportation, had not caused influences completely beyond Alcoa's control to open up extensive new markets, the company would still have grown—but at a slower rate.

The Aluminum Company was fortunate in finding itself in an even better industry than the attractive one envisioned by its early management. The fortunes made by many of the early stockholders of this company who held on to their shares is of course known to everyone. What may not be so generally recognized is how well even relative newcomers to the stockholder list have done. When I wrote the original edition, Alcoa shares were down almost 40 per cent from the all-time high made in 1956. Yet at this “low” price the stock showed an increase in value of almost 500 per cent over not the low price, but the median average price at which it could have been purchased in 1947, just ten years before.

Now let us take Du Pont as an example of the other group of growth stocks—those which I have described as “fortunate because they are able.” This company was not originally in the business of making nylon, cellophane, lucite, neoprene, orlon, milar, or any of the many other glamorous products with which it is frequently associated in the public mind and which have proven so spectacularly profitable to the investor. For many years Du Pont made blasting powder. In time of peace its growth would largely have paralleled that of the mining industry. In recent years, it might have grown a little more rapidly than this as additional sales volume accompanied increased activity in road building. None of this would have been more than an insignificant fraction of the volume of business that has developed, however, as the company's brilliant business and financial judgment teamed up with superb technical skill to attain a sales volume that is now exceeding two billion dollars each year. Applying the skills and knowledge learned in its original powder business, the company has successfully launched product after product to make one of the great success stories of American industry.

The investment novice taking his first look at the chemical industry might think it is a fortunate coincidence that the companies which usually have the